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# Strategic Trading Analysis

Based on the detailed PDF report provided, here is the analysis for **INFY.NS (Infosys)**.

## Step 1: Audit the Data

- **Data Present:**
  - **Price Action:** Daily, Weekly, and 15-minute candlestick charts.
  - **Trend Indicators:** Moving Averages (EMA 20, 50, 200), Supertrend, MACD.
  - **Volatility/Momentum:** Bollinger Bands, RSI, Volatility Squeeze analysis.
  - **Volume:** Volume Analysis with "Distribution Day" counts.
  - **Fundamentals:** Short-term and Long-term growth metrics, Valuation scores.
  - **Relative Strength:** Comparison against ^CNXIT (IT Sector).
- **Data Missing:**
  - **Fibonacci Retracements:** Specific support levels derived from historical swing lows are not explicitly drawn, requiring visual estimation from the charts.
  - **Option Chain/Open Interest:** No data on derivatives positioning to gauge sentiment extremes.
- **Confidence Level: High**. The technical report is exhaustive, covering trend, momentum, volatility, and volume across multiple timeframes, allowing for a precise technical assessment.

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## Step 2: Analyze the Setup

- **Price Structure (Bearish):** The stock is in a confirmed **Strong Downtrend**. It is trading at INR 1353, significantly below key moving averages: EMA 20 (1475), EMA 50 (1537), and EMA 200 (1554). This "bearish stack" indicates sellers are dominant across all time horizons.
- **Momentum (Negative but Oversold):**
  - **RSI:** The RSI is at **22.71**, which is deeply oversold. While this often precedes a bounce, an RSI this low also indicates extreme weakness and panic selling.
  - **MACD:** The MACD is negative (-70.64) with a bearish histogram, though momentum is described as "weakening," suggesting the intensity of the selling *might* be slowing slightly.
- **Volume (Distribution):** The volume analysis (Page 18) flags **5 Distribution Days** in February 2026 alone. This indicates institutional offloading.
- **Relative Strength:** The stock is a "Weakening Leader" and is lagging behind the IT sector index (^CNXIT).
- **Risk Factors:** The stock has crashed through the lower Bollinger Band, and the Supertrend gave a sell signal back at 1499. Attempting to buy now is technically "catching a falling knife."

**Conclusion:** There is **no confluence** for a long entry at this moment. The oversold RSI is the *only* potential bullish factor, but without price structure confirmation (reversal pattern), it is not a valid buy signal for a positional trader.

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## Step 3: Formulate the Recommendation

**Recommendation: NO** (Do not enter now).

**Reasoning:** The trend is fiercely negative. Entering now exposes you to significant downside risk as the stock discovers new lows. As a positional trader, you need confirmation that the institutional selling

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(distribution) has ended and accumulation has begun.

**Conditional Plan (Watchlist Strategy):**You should only consider entering this trade if the stock proves it has bottomed by reclaiming short-term momentum.

- **Condition to Buy:** A **Daily Close above the EMA 20**. Currently, the EMA 20 is acting as dynamic resistance. The price must close above this line to confirm the immediate selling pressure has abated.
- **Entry Price: INR 1,480 - INR 1,485** (Approximate level above the current EMA 20 of 1475, allowing for a confirmation buffer).
- **Stop Loss: INR 1,340** (A hard stop below the recent swing low/current support area).
- **Take Profit: INR 1,640** (Targeting the breakdown zone and the EMA 200 overhead resistance).
  - *Note:* This setup offers a Reward-to-Risk ratio of roughly 1.1:1 initially, which is tight. Ideally, wait for the price to consolidate and form a base (W-pattern) before entering to improve this ratio.

# Candlestick Classification Analysis

Based on the **Candlestick Classification Report (Page 20)** and the **Chart Analysis (Page 21)**, here is my assessment as a seasoned Price Action Trader.

## 1. Current Market Condition: The "Buyer Control" Signal

The latest trading session has been classified as **Buyer Control (+1)**.

- **Logic Interpretation:** According to the algorithm, this candle likely had a moderate bullish body (0.8-1.5 ATR) or a strong body that lacked confirming volume.
- **Price Action Context:** Looking at the far right of the chart on Page 21, this green candle comes immediately after a steep, high-volume capitulation drop (the massive red candles representing "Seller Strong Control").
- **Wick Analysis (Step 3):** The candles immediately preceding this "Buyer Control" signal show long lower wicks. In our system, long lower wicks represent **failed attempts** by sellers to push lower. Buyers stepped in to defend the 1350 zone.

## 2. Trend Analysis: The -0.20 Score

The **Recent Trend Score (10-day avg)** is **-0.20**.

- **What this tells us:** The market is still technically in a **Weak Bearish / Neutral** state over the last two weeks.
- **The Conflict:** While the *latest* day is positive (+1), the average remains negative. This indicates that the current move is likely a **mean reversion bounce** rather than a confirmed trend reversal. The sellers still hold the 10-day dominant position, meaning any upward move will face heavy resistance from trapped bulls looking to exit on the bounce.

## 3. Volume & Structure Analysis

- **Capitulation Volume:** On the volume chart (Page 21, bottom), the red volume bars leading into this low were significant. High volume on a sharp decline often signals "Selling Climax" or capitulation-where weak hands panic sell, and institutions (Step 4 in your logic) begin accumulating.
- **Distribution Stats:** The report shows **101 "No Control" days** vs only **4 "Buyer Strong Control"** days historically. This ticker is prone to indecision. Therefore, a definitive "Strong Control" signal is rare and significant. The fact that we only have "Buyer Control" (not Strong) suggests caution; the conviction isn't fully locked in yet.

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### Prediction: Short-Term Bullish Bounce, Medium-Term Caution

**Direction: UPSIDE (Short Term)**

**Rationale:**The combination of a "Buyer Control" candle closing near its highs, following a "Seller Strong Control" exhaustion move, creates a classic **Oversold Bounce** setup. The market has found a temporary floor where sellers have run out of ammunition (exhaustion), and buyers are stepping in at value.

**The Trade Plan (Based on Classification Logic):**

1. **Immediate Move:** I expect the price to drift upward to test the previous breakdown zones (likely near the 1400-1450 area). The "Buyer Control" classification suggests the bulls have the ball for the next 1-3 sessions.
2. **The Watchout:** Watch for the next "No Control" (0) or "Seller Control" (-1) candle. Because the 10-day score is negative (-0.20), the dominant energy is still down. If the price rallies on *low volume* (Step 4 multiplier < 0.8), the rally is a "Dead Cat Bounce" and will likely fail.
3. **Confirmation Needed:** To confirm a true trend change to the upside, we need to see a **"Buyer Strong Control" (+2)** candle-specifically one with a large body (>1.5 ATR) and high volume-to break the negative inertia of the 10-day trend score.

**Verdict:** The falling knife has been caught. Expect a **relief rally** in the coming days, but treat it as a technical bounce until a "Buyer Strong Control" signal validates a new trend.

# News & Analyst Targets

Based on the latest search results for the week ending **February 21, 2026**, here is the research update for Infosys (INFY).

## 1) Latest News for INFY This Week

- **Strategic Partnership with Anthropic:** Infosys announced a major collaboration with AI safety and research company **Anthropic**. The deal integrates Anthropic's "Claude" models into the **Infosys Topaz** platform to launch new AI-driven services. The initial focus will be on the telecommunications, financial services, and manufacturing sectors to automate workflows and modernize legacy systems.
- **Expansion of ExxonMobil Collaboration:** The company expanded its partnership with **ExxonMobil** to deploy immersion cooling systems for data centers. This initiative aims to improve energy efficiency for high-performance computing and AI workloads, leveraging Infosys's "Cobalt" cloud services.
- **"AI Day" Investor Event:** Infosys held an investor event outlining its "AI First" strategy. Management projected a **$300-$400 billion** market opportunity for enterprise AI by 2030. They noted that AI-focused services currently contribute approximately **5.5%** to total revenue.
- **Stock Volatility & Options Activity:** Despite the positive strategic announcements, the stock has experienced volatility. Reports indicate "heavy put option activity" (betting on a price drop) around the INR 1,300-INR 1,320 levels, suggesting some near-term bearish sentiment or hedging by investors.

## 2) Brokerage Upgrades & Downgrades

This week saw a mix of maintained "Buy" ratings but with **price target cuts** from several firms, reflecting concerns over near-term growth and AI disruption risks.

- **JM Financial:** Retained a **Buy** rating but **cut the price target** significantly to **INR 1,660** (down from INR

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1,930). They cited concerns that AI productivity gains might be "deflationary" for IT services revenue in the short term.
- **Stifel:** Maintained a **Hold** rating on the NYSE-listed ADR but **lowered the price target** to **$17** (from $19).
- **MarketsMojo:** Recently downgraded the stock from **Buy to Hold** (action taken Feb 9, reaffirmed in reports this week), citing technical deterioration and flat quarterly financial trends.

## 3) Indirect News Impacting INFY

- **Sector-Wide AI Anxiety:** The broader Nifty IT and BSE IT indices have faced pressure due to global concerns that Generative AI could disrupt the traditional outsourcing business model ("deflationary impact"). Investors are weighing the long-term opportunity against the immediate risk of revenue compression as AI automates coding and basic tasks.
- **Macroeconomic "Dual Blow":** Analysts have highlighted a "dual blow" facing the sector: a slowdown in discretionary spending by global clients (macro headwinds) combined with the technological shift to AI, which is causing clients to pause and rethink their IT budgets.

## 4) Latest Analyst Price Targets

Below is a summary of the latest targets issued or reiterated by major brokerages this week.

| Brokerage Firm | Rating / Action | Price Target (INR) | Note |
|---|---|---|---|
| JPMorgan | Overweight | INR 2,050 | Remains the most bullish; sees AI as "services-accretive". |
| Nuvama | Buy | INR 1,900 | Believes the recent stock correction is "overdone." |
| Jefferies | Buy | INR 1,880 | Emphasizes Infosys's central role in AI implementation. |
| HSBC | Buy | INR 1,870 | Expects AI-led services to offset deflationary pressures. |
| Motilal Oswal | Buy | INR 1,850 | Sees cyclical recovery in core business. |
| Bank of America | Buy | INR 1,840 | Positive on positioning but notes the path is evolving. |
| Morgan Stanley | Equal-weight | INR 1,760 | Cautious on execution risks; sees "Hold" equivalent. |
| JM Financial | Buy | INR 1,660 | Cut from INR 1,930; concerned about near-term revenue deflation. |
| Stifel | Hold | $17 (approx. INR 1,430) | Target for NYSE ADR; lowered from $19. |

*Note: Targets are primarily for the NSE/BSE listing in INR, unless otherwise noted as USD for the ADR.*

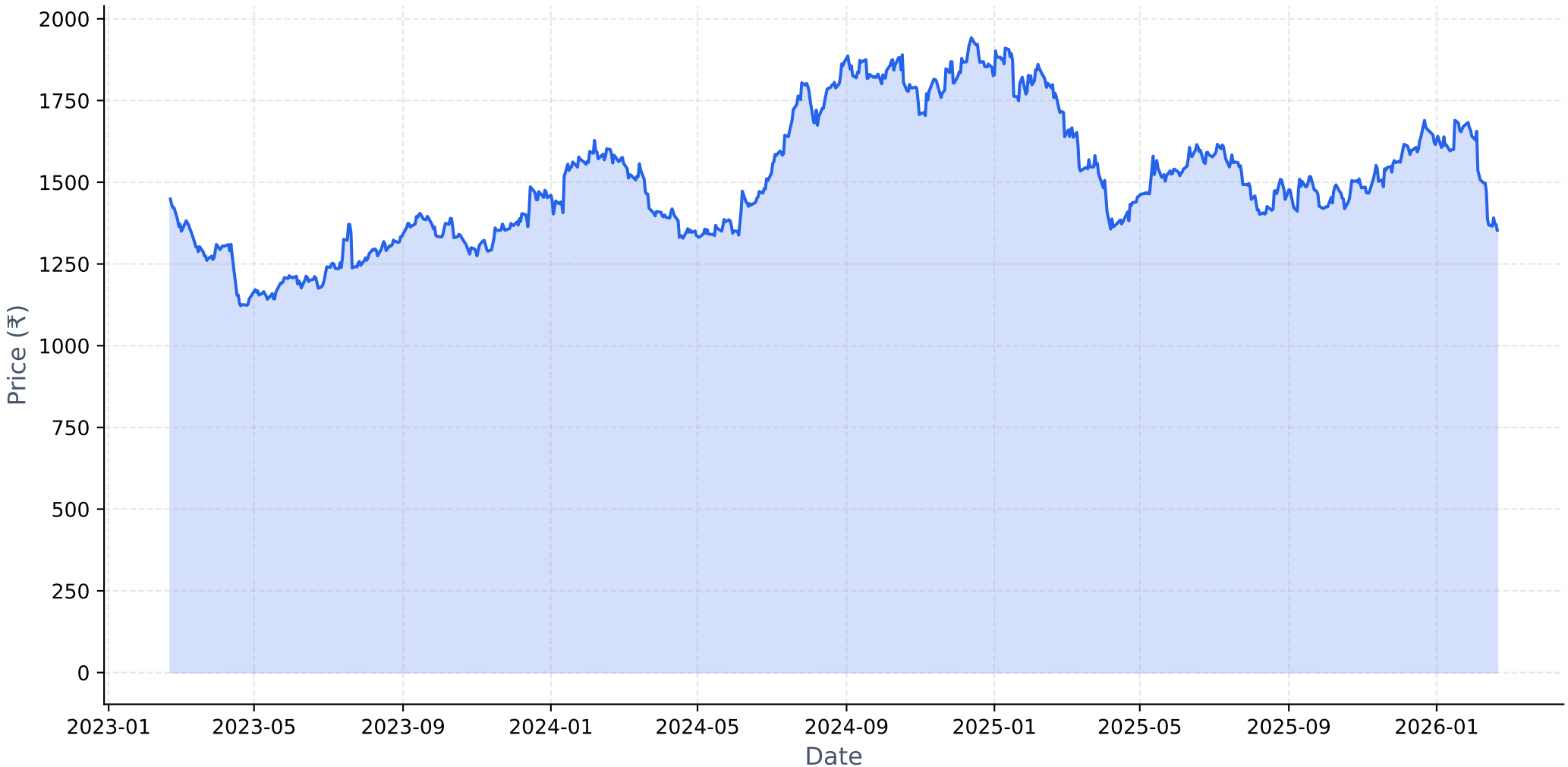
# Stock Detailed Analysis Report

# INFY.NS

Current Price: ₹1353.20

Generated: 2026-02-21 09:22

# INFY.NS - 3 Year Daily Price Chart



# Long-term Fundamental Analysis (4 Years)

| Metric | Is Growing? | Accelerating? | 1Y Growth | 3Y CAGR |
|---|---|---|---|---|
| Revenue | Yes | No | 3.85% | 5.73% |
| Net Income | Yes | No | -0.28% | 2.15% |
| ROE | No | No | -6.03% | -1.85% |
| EPS | Yes | No | -1.30% | 2.78% |

# Short-term Fundamental Analysis (6 Quarters)

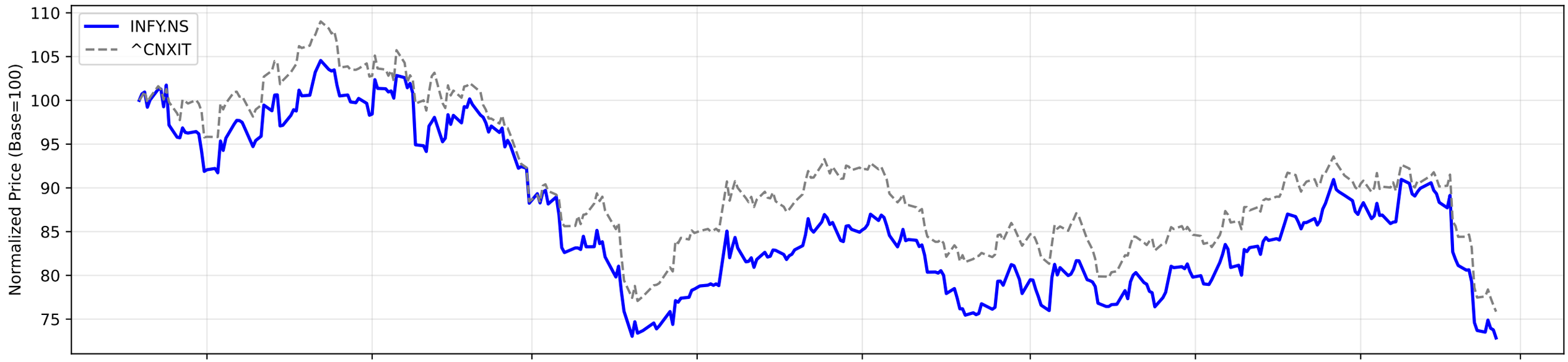
| Metric | Is Growing? | Recent QoQ | Avg QoQ |
|---|---|---|---|
| Revenue | Yes | 0.45% | 0.85% |
| Net Income | No | -10.97% | -1.66% |
| ROE | Yes | 12.19% | 1.15% |
| EPS | Yes | 0.00% | 1.75% |

# INFY.NS - Relative Strength Analysis

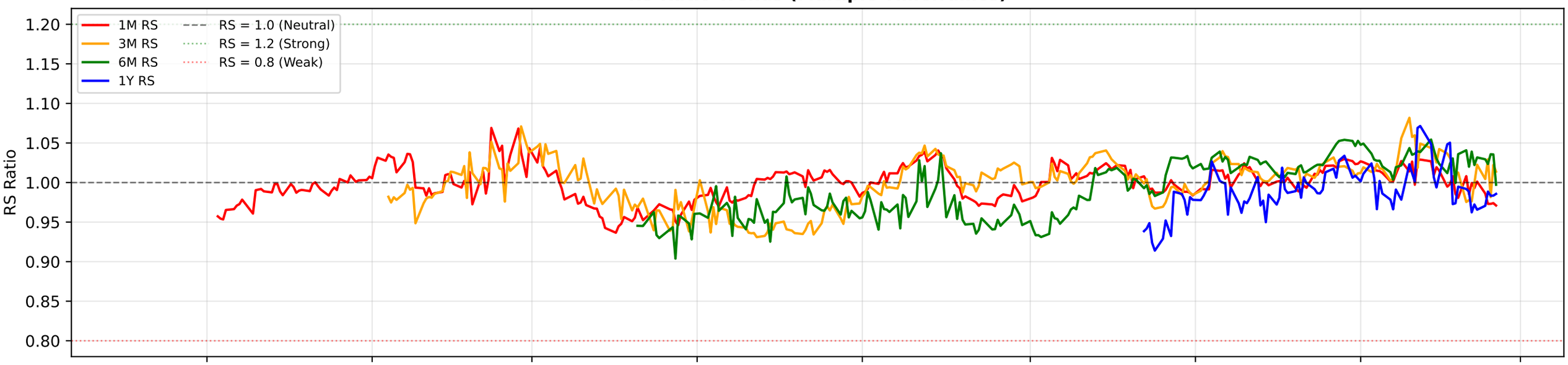
| | |
|---|---|
| **═══ OVERVIEW ═══:** | |
| **Benchmark Index:** | ^CNXIT |
| **Sector:** | IT |
| **Classification:** | **Weakening Leader** |
| **RS Score:** | 49.6/100 |
| **:** | |
| **═══ RS RATIOS ═══:** | |
| **1M RS:** | **0.971 [Neutral]** |
| **3M RS:** | **1.014 [Leader]** |
| **6M RS:** | **0.997 [Neutral]** |
| **1Y RS:** | **0.986 [Neutral]** |
| **:** | |
| **═══ TURNAROUND ANALYSIS ═══:** | |
| **Turnaround Status:** | **Not Detected** |
| **:** | |
| **SIGNAL CRITERIA::** | |
| ✗ **Emerging RS:** | **Not accelerating** |
| ✓ **Medium-term Lagging:** | 6M=0.997, 1Y=0.986 (≤1.0) |
| ✗ **Performance Improving:** | **Not improving** |

# Relative Strength Analysis: INFY.NS vs ^CNXIT
## Classification: Weakening Leader

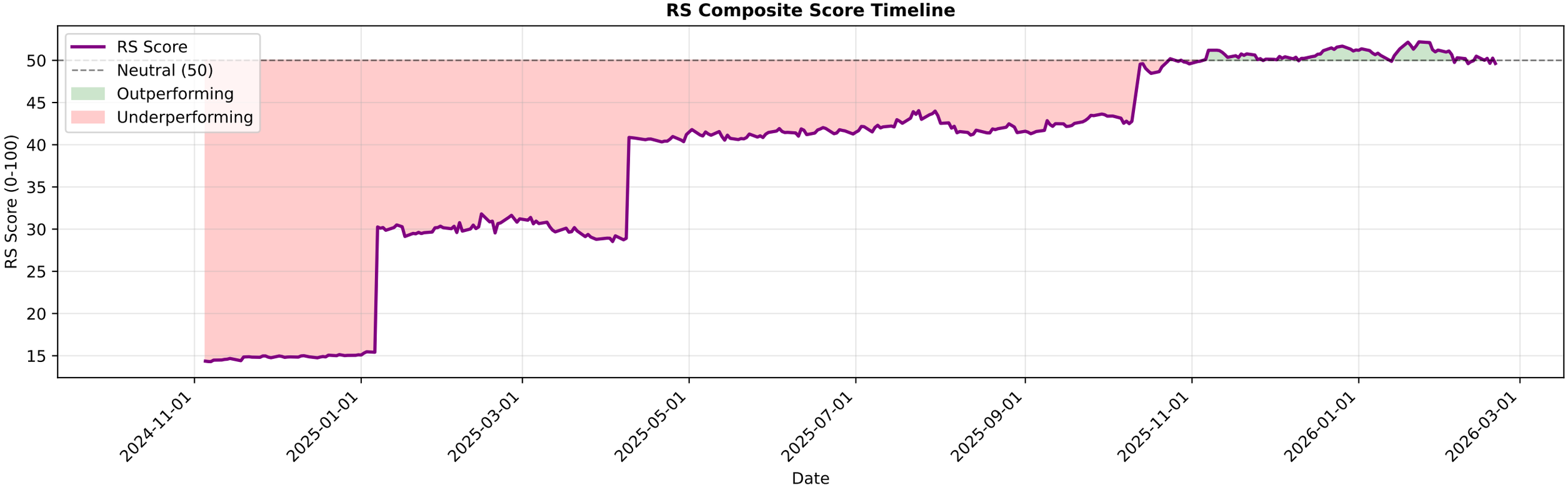
### Price Performance Comparison (Normalized)




### RS Ratio Trends (Multiple Timeframes)

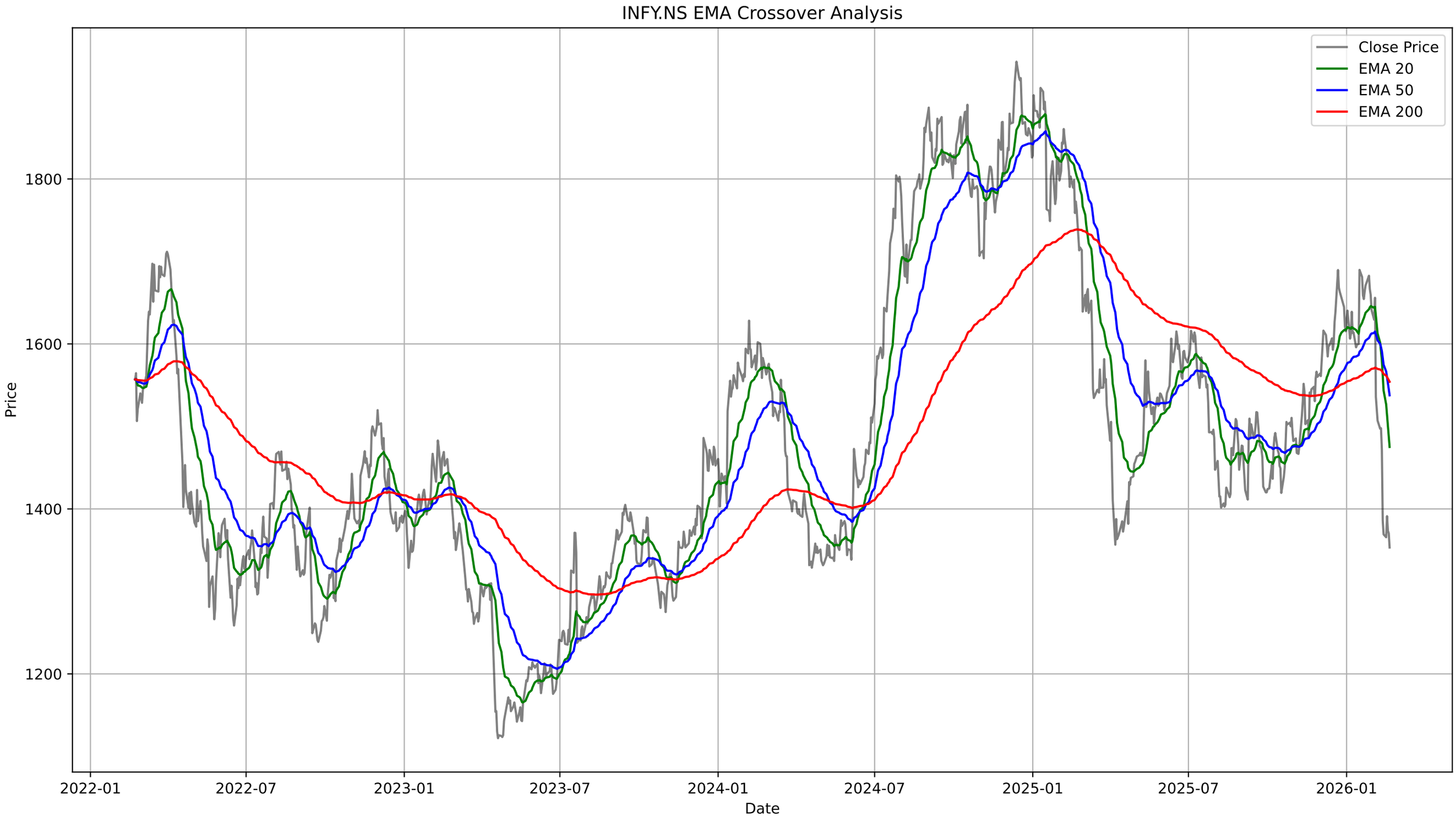



### RS Composite Score Timeline



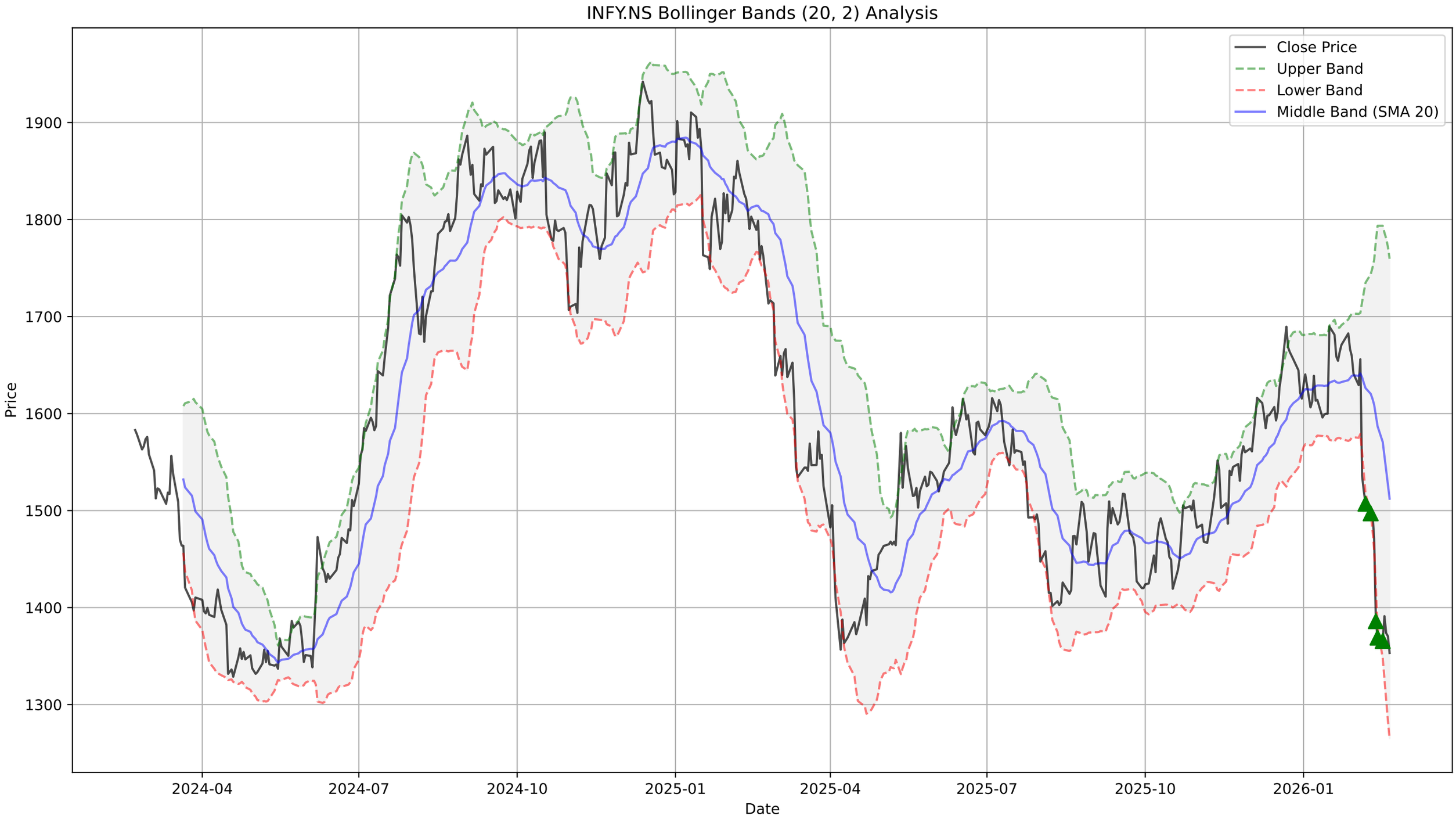
# INFY.NS - EMA Crossover Summary

| | |
|---|---|
| **EMA 20:** | 1475.11 |
| **EMA 50:** | 1537.74 |
| **EMA 200:** | 1554.17 |
| **Trend Status:** | **Strong Downtrend** |


INFY.NS EMA Crossover Analysis
Close Price
EMA 20
EMA 50
EMA 200
1800
1600
1400
1200
Price
2022-01
2022-07
2023-01
2023-07
2024-01
2024-07
2025-01
2025-07
2026-01
Date

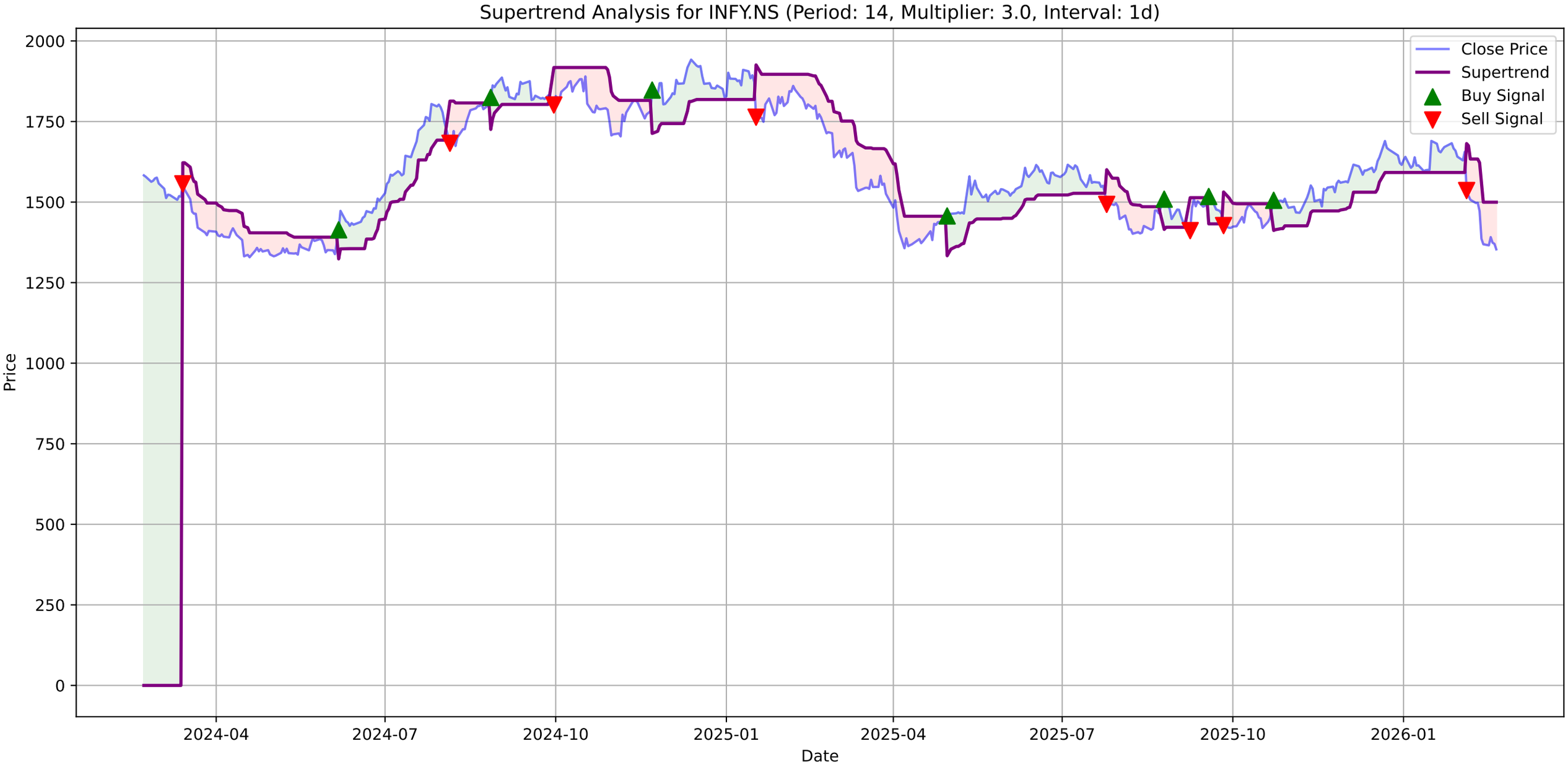
# INFY.NS - Bollinger Bands Summary

| | |
|---|---|
| **Current Price:** | 1353.20 |
| **Upper Band:** | 1759.57 |
| **Middle Band (SMA 20):** | 1512.26 |
| **Lower Band:** | 1264.95 |
| **%B:** | 0.1784 |
| **Band Width:** | 0.3271 |
| **Status:** | Lower Half |
| **Signal:** | None |
| **Recent Signal 1:** | **Buy Signal at 2026-02-12 00:00:00+05:30** |
| **Recent Signal 2:** | **Buy Signal at 2026-02-13 00:00:00+05:30** |
| **Recent Signal 3:** | **Buy Signal at 2026-02-16 00:00:00+05:30** |


INFY.NS Bollinger Bands (20, 2) Analysis
Close Price
Upper Band
Lower Band
Middle Band (SMA 20)
Price
1900
1800
1700
1600
1500
1400
1300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Date

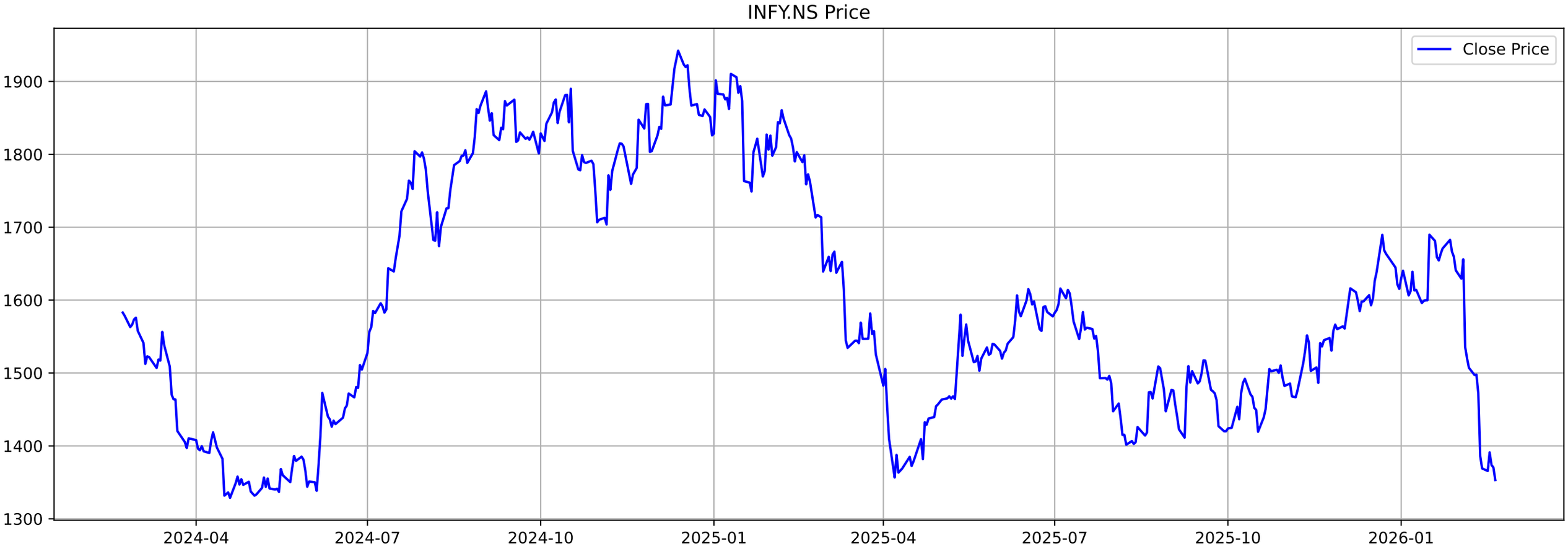
# INFY.NS - Supertrend Summary

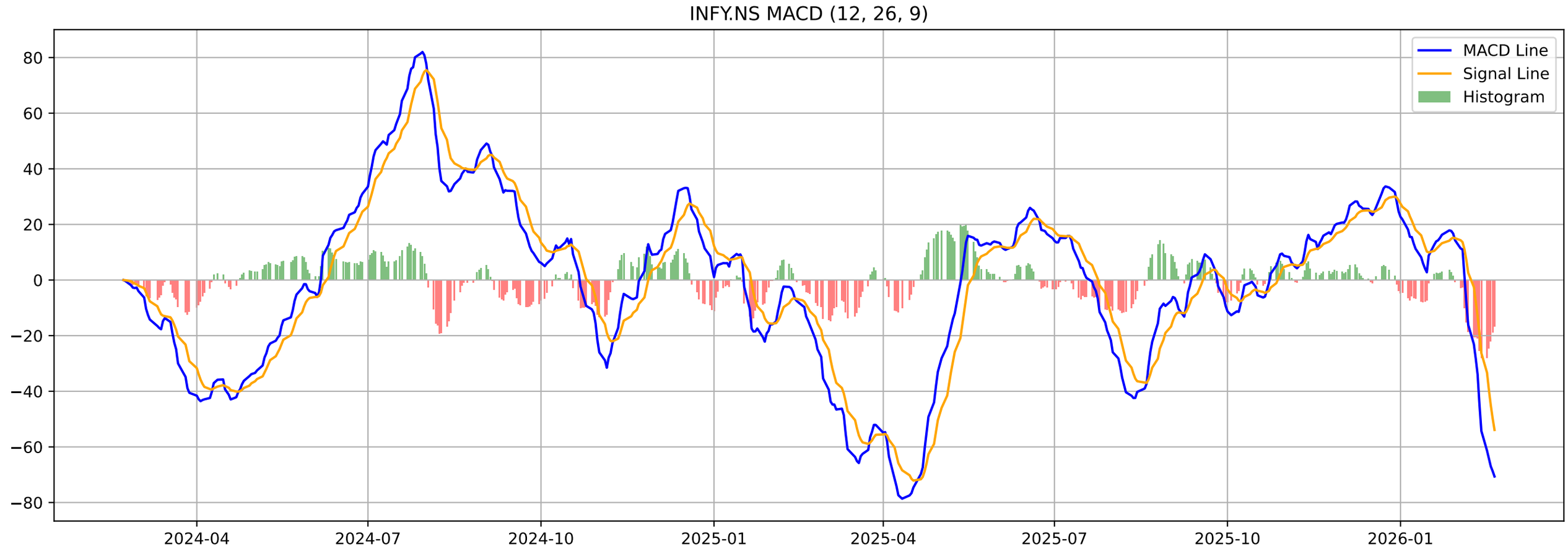
| | |
|---|---|
| **Status:** | **DOWNTREND (Sell)** |
| **Supertrend Value:** | 1499.63 |
| **Signal Identified On:** | 2026-02-04 |


Supertrend Analysis for INFY.NS (Period: 14, Multiplier: 3.0, Interval: 1d)
Close Price
Supertrend
Buy Signal
Sell Signal
Price
Date
2000
1750
1500
1250
1000
750
500
250
0
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

# INFY.NS - MACD Summary

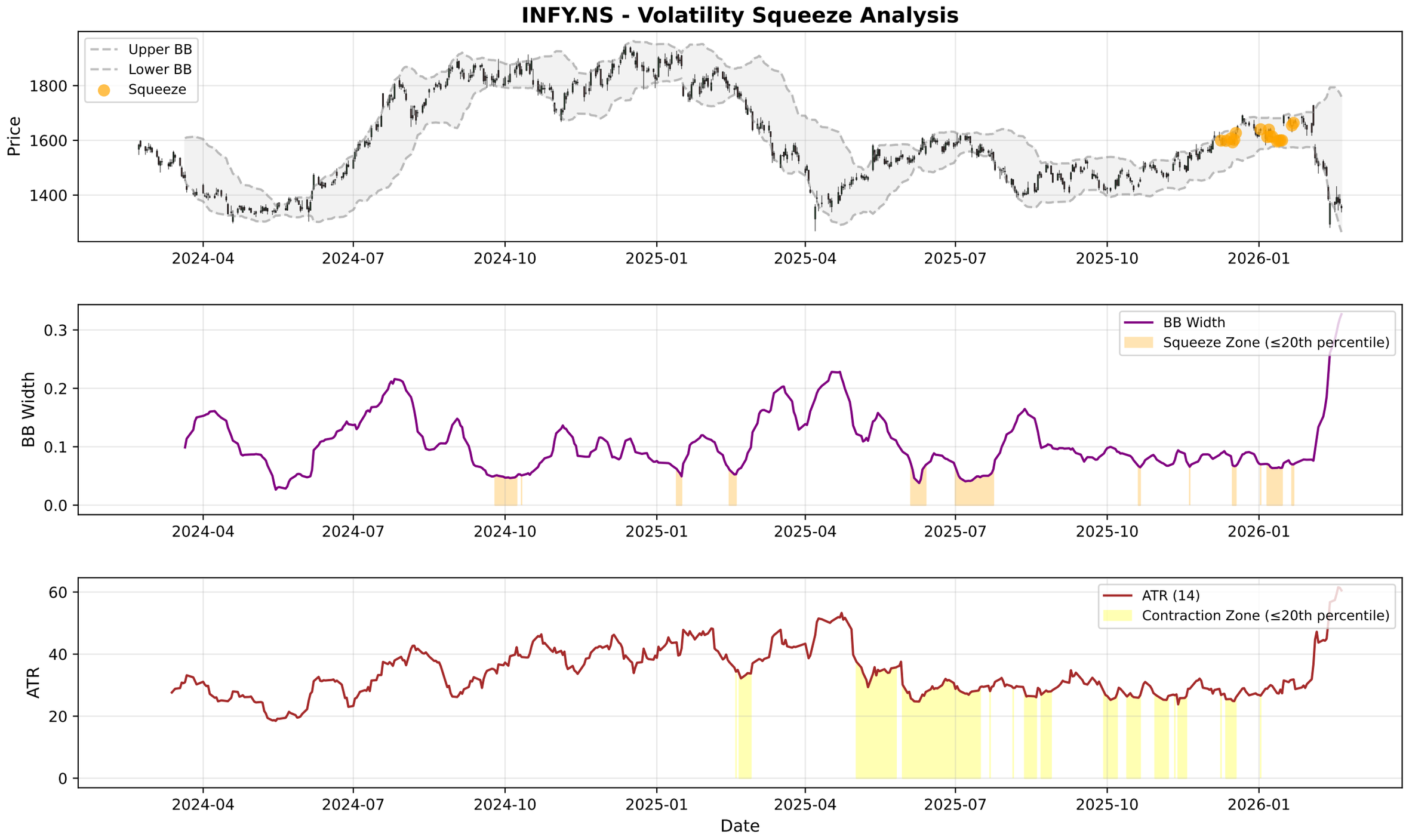
| | |
|---|---|
| **MACD Line:** | -70.64 |
| **Signal Line:** | -53.90 |
| **Histogram:** | -16.74 |
| **Trend:** | **Bearish** |
| **Momentum:** | **Weakening** |
| **Signal:** | None |


INFY.NS Price
Close Price
1900
1800
1700
1600
1500
1400
1300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01


INFY.NS MACD (12, 26, 9)
MACD Line
Signal Line
Histogram
80
60
40
20
0
−20
−40
−60
−80
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01

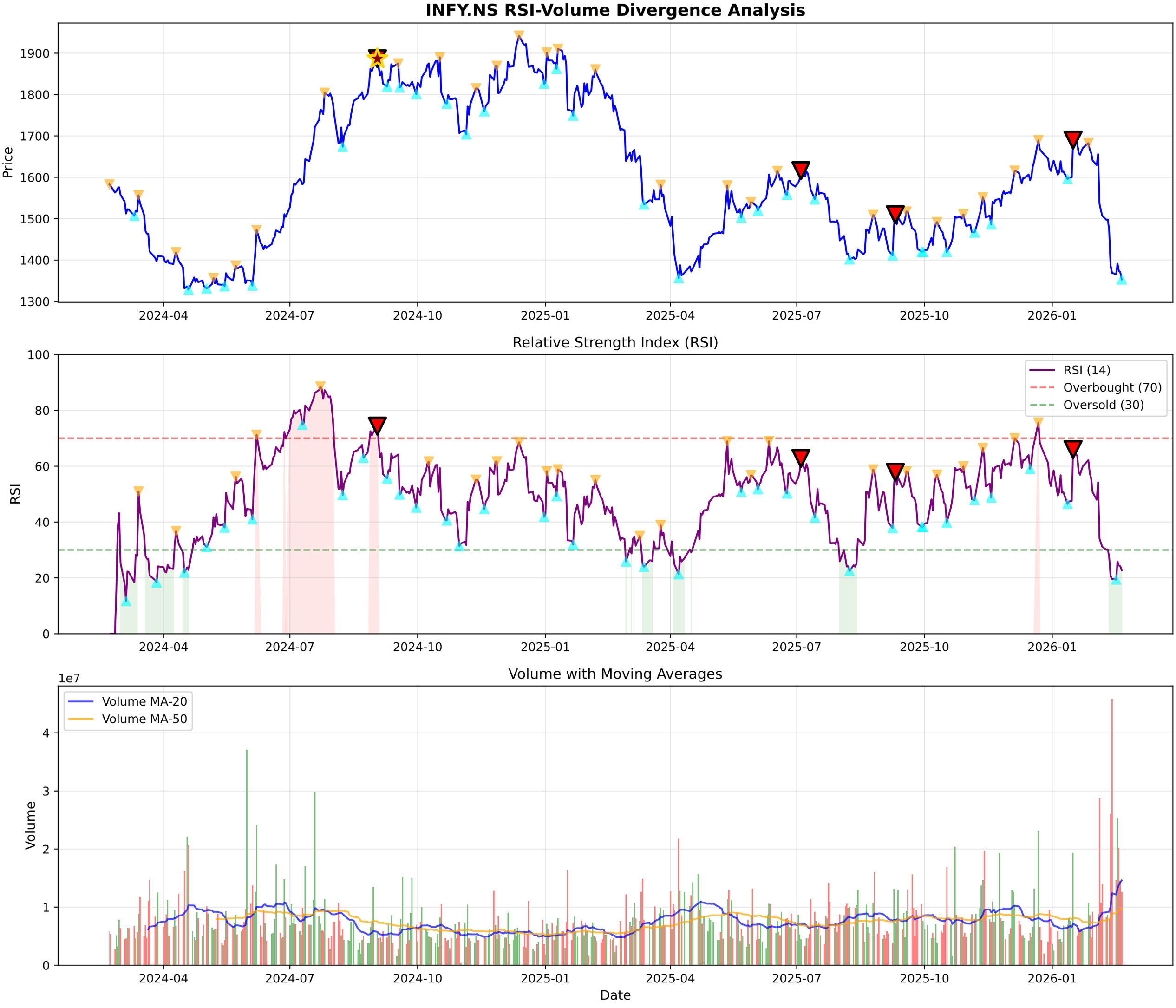
# INFY.NS - Volatility Squeeze Summary

| | |
|---|---|
| **BB Width:** | 0.3271 |
| **ATR:** | 60.5286 |
| **Total Signals:** | 17 |
| **Signal 1:** | BB Squeeze at 2026-01-13 00:00:00+05:30 (Price: 1599.00) |
| **Signal 2:** | BB Squeeze at 2026-01-14 00:00:00+05:30 (Price: 1599.80) |
| **Signal 3:** | BB Squeeze at 2026-01-15 00:00:00+05:30 (Price: 1599.80) |
| **Signal 4:** | BB Squeeze at 2026-01-21 00:00:00+05:30 (Price: 1654.40) |
| **Signal 5:** | BB Squeeze at 2026-01-22 00:00:00+05:30 (Price: 1663.50) |


INFY.NS - Volatility Squeeze Analysis
Upper BB
Lower BB
Squeeze
Price
1800
1600
1400
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
BB Width
Squeeze Zone (≤20th percentile)
0.3
0.2
0.1
0.0
ATR (14)
Contraction Zone (≤20th percentile)
ATR
60
40
20
0
Date

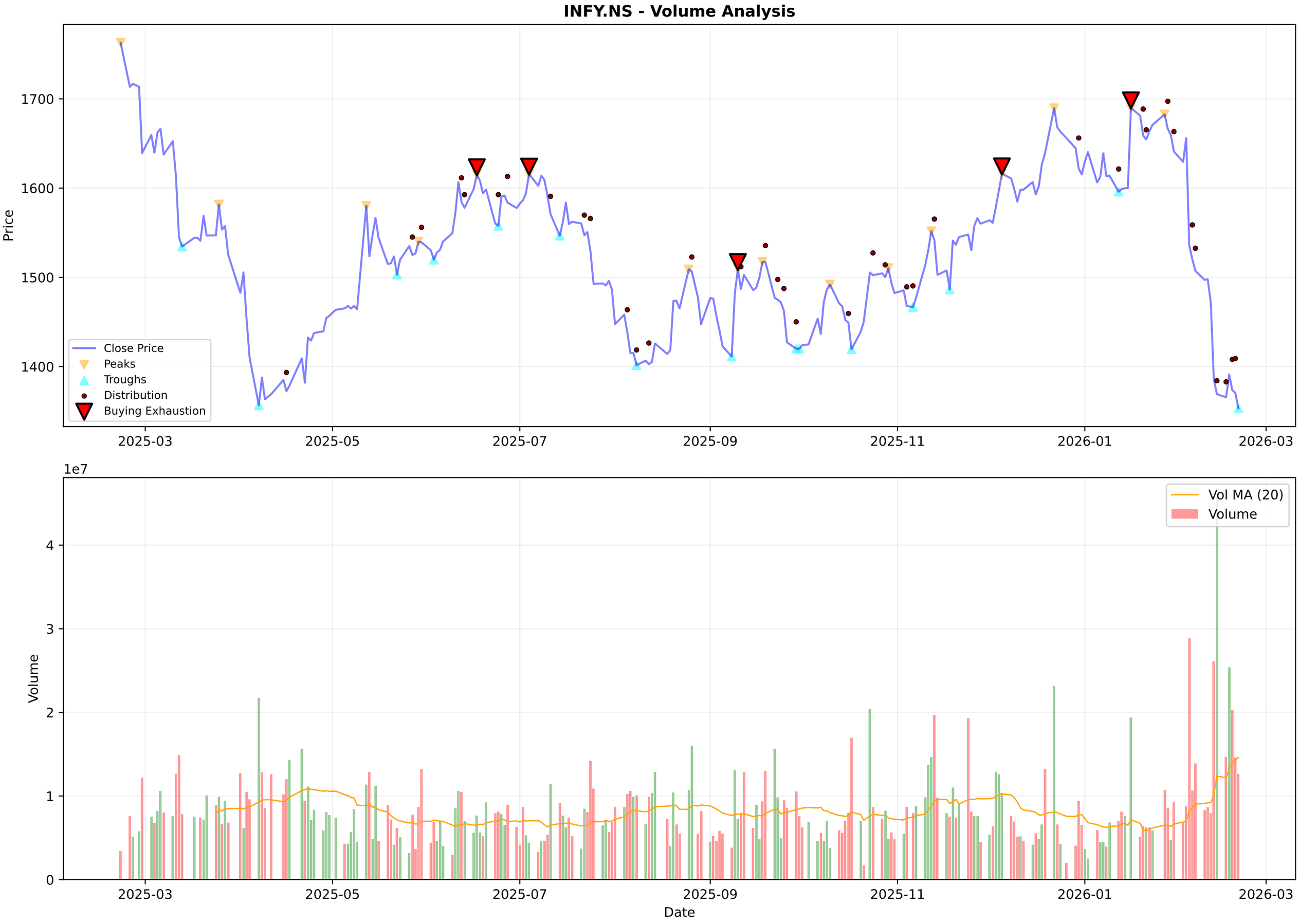
# INFY.NS - RSI-Volume Summary

| | |
|---|---|
| **Current RSI:** | 22.71 |
| **Current Volume:** | 12633552 |
| **Volume MA 20:** | 14608806 |
| **Bullish Divergences:** | 0 |
| **Bearish Divergences:** | 4 |
| **Bearish Div 1:** | Date: 2025-09-10 00:00:00+05:30, Price: 1509.49 |
| **Bearish Div 2:** | Date: 2026-01-16 00:00:00+05:30, Price: 1689.80 |


INFY.NS RSI-Volume Divergence Analysis
Price
1900
1800
1700
1600
1500
1400
1300
2024-04
2024-07
2024-10
2025-01
2025-04
2025-07
2025-10
2026-01
Relative Strength Index (RSI)
RSI
100
80
60
40
20
0
RSI (14)
Overbought (70)
Oversold (30)
Volume with Moving Averages
1e7
Volume
4
3
2
1
0
Volume MA-20
Volume MA-50
Date

# INFY.NS - Volume Analysis

| | |
|---|---|
| **═══ VOLUME ANALYSIS ═══:** | |
| **Status:** | **42 Signals Detected** |
| **:** | |
| **2026-02-06 [-]:** | Distribution Day |
| **2026-02-13 [-]:** | Distribution Day |
| **2026-02-16 [-]:** | Distribution Day |
| **2026-02-18 [-]:** | Distribution Day |
| **2026-02-19 [-]:** | Distribution Day |


INFY.NS - Volume Analysis
Price
1700
1600
1500
1400
Close Price
Peaks
Troughs
Distribution
Buying Exhaustion
2025-03
2025-05
2025-07
2025-09
2025-11
2026-01
2026-03
1e7
Volume
4
3
2
1
0
Vol MA (20)
Volume
Date

# INFY.NS - Candlestick Classification Summary

| | |
|---|---|
| **═══ CANDLESTICK CLASSIFICATION ═══:** | |
| **Latest Classification:** | **Buyer Control** |
| **Recent Trend Score (10-day avg):** | -0.20 |
| **:** | |
| **Distribution:** | |
| **No Control:** | 101 |
| **Seller Control:** | 64 |
| **Buyer Control:** | 58 |
| **Buyer Strong Control:** | 4 |
| **Seller Strong Control:** | 1 |

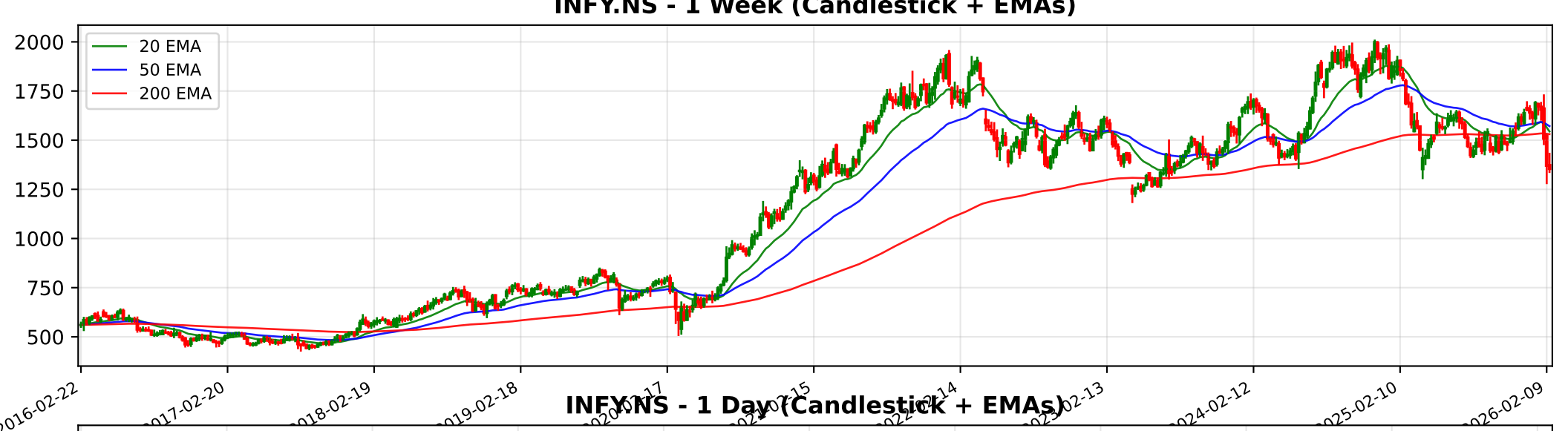
INFY.NS - Candlestick Classification
Seller Strong Control
Seller Control
No Control
Buyer Control
Buyer Strong Control
Price
1700
1600
1500
1400
1300
1e7
Volume
4
3
2
1
0
2025-06-05
2025-07-01
2025-07-25
2025-08-21
2025-09-17
2025-10-14
2025-11-11
2025-12-05
2026-01-01
2026-01-28
Date

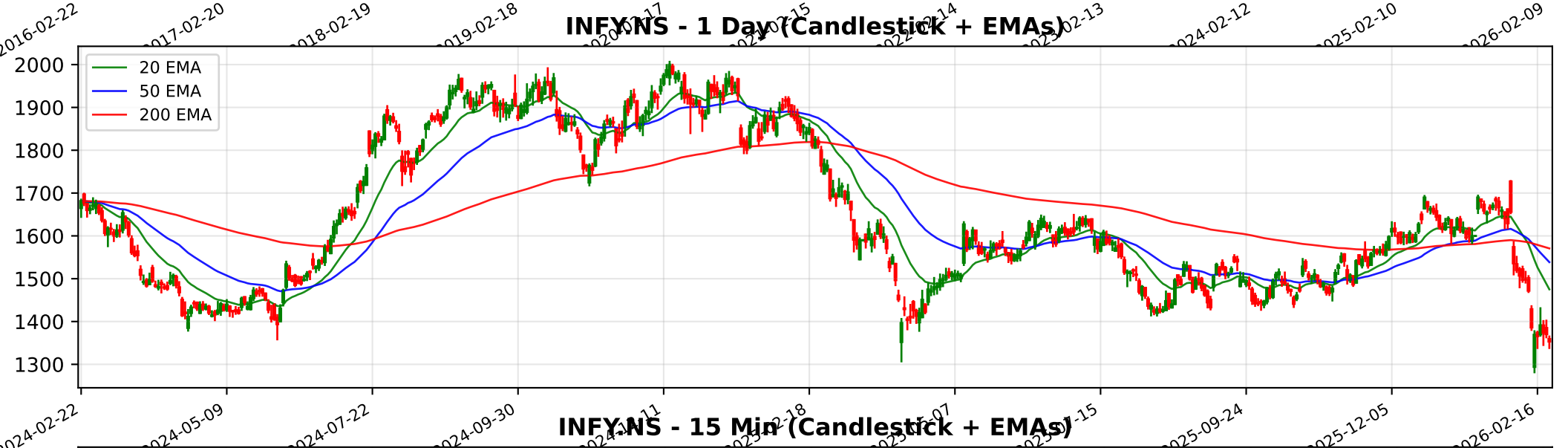
## Multi-Timeframe Supertrend Analysis

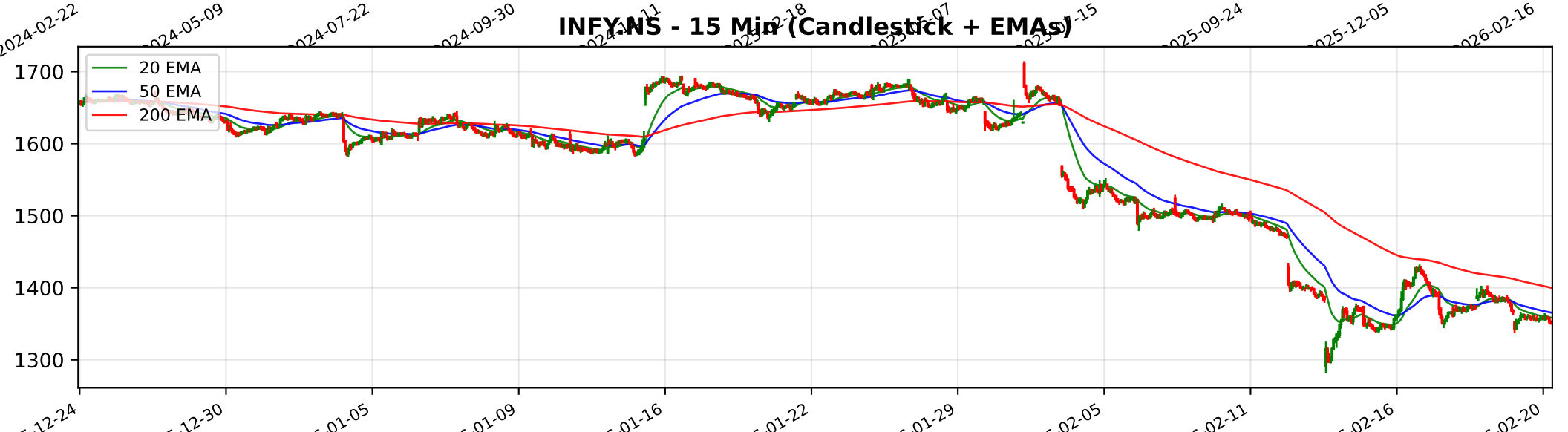
| Timeframe | Status | Value | Last Price | Signal Date |
|---|---|---|---|---|
| 1 Week | **DOWNTREND (Sell)** | 1642.71 | 1353.2 | 2026-02-02 |
| 1 Day | **DOWNTREND (Sell)** | 1499.63 | 1353.2 | 2026-02-04 |
| 15 Min | **DOWNTREND (Sell)** | 1365.11 | 1352.5 | 2026-02-19 |

## Multi-Timeframe MACD Analysis

| Timeframe | Trend | Momentum | Signal |
|---|---|---|---|
| 1 Week | **Bearish** | Strengthening | No Signal |
| 1 Day | **Bearish** | Weakening | No Signal |
| 15 Min | **Bullish** | Weakening | No Signal |


INFY.NS - 1 Week (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
2000
1750
1500
1250
1000
750
500
2016-02-22
2017-02-20
2018-02-19
2019-02-18
2024-02-12
2025-02-10
2026-02-09


INFY.NS - 1 Day (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
2000
1900
1800
1700
1600
1500
1400
1300
2024-02-22
2024-05-09
2024-07-22
2024-09-30
2025-09-24
2025-12-05
2026-02-16


INFY.NS - 15 Min (Candlestick + EMAs)
20 EMA
50 EMA
200 EMA
1700
1600
1500
1400
1300
12-24
12-30
01-05
01-09
01-16
01-22
01-29
02-05
02-11
02-16
02-20

# Trendlyne Snapshot - INFY_main

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MARKETS / SECTOR : SOFTWARE & SERVICES / INDUSTRY : IT CONSULTING & SOFTWARE / INFOSYS LTD.

## Infosys Ltd.

NSE: INFY | BSE: 500209

Infosys Live Share Price Today, Share Analysis and Chart

Mid-range Performer

In 6 Starfolio Baskets

ABOUT Infosys is a global provider of next-generation digital services and consulting, operating in more than 59 countries. The company specializes in delivering technology solutions through artificial intelligence (AI), cloud computing, and digital transf... Read More

**1353.20** -17.30 (-1.26%)

↓ 26.05% Fall from 52W High

**13.2M** NSE+BSE Volume

NSE 20 Feb, 2026 3:31 PM (IST)

Watchlist Portfolio Alert My Notes

Overview FORECASTER STOCK REPORT Buy Sell Zone F&O Financials News Reports Technicals Shareholding Deals Corporate Actions Alerts (1) About

| Durability score | Valuation Score | Momentum Score | Analyst Price Target |
|---|---|---|---|
| 65.0 / 100 | 39.8 / 100 | 43.3 / 100 | 1,782 |
| High Financial Strength | Mid Valuation | Technically Neutral | 1Yr Price target upside is 32% |

Mid-range Performer These stocks have strong quality. Their reasonable financials and technicals make them potentially attractive to i... View Similar Embed DVM

FORECASTER

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Key Metrics
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Forecaster
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Technicals
Shareholding
Deals
Documents
Corporate actions
Company Profile

S 14 W 11 O 7 T 4

SWOT Analysis

### Check Before You Buy

VIEW FULL CHECKLIST

High rank 14 Positive • 9 Negative

60.9% Pass in checklist

0 45 55 100

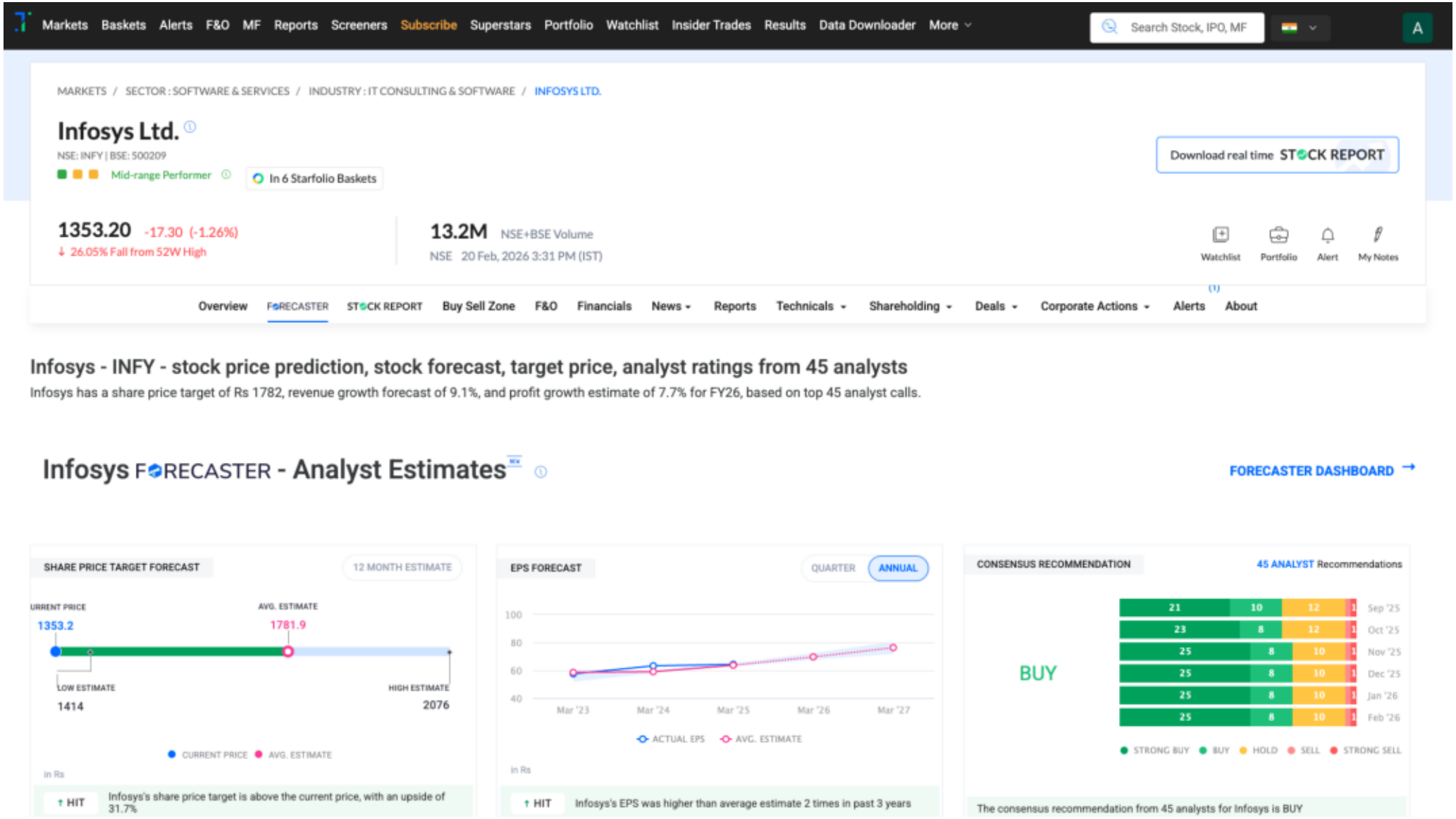
### PE Valuation Check

| Right Now | 1 Year Forward |
|---|---|
| Undervalued 40.5% | Undervalued 43.3% |

INSIGHT Infosys is undervalued at both current PE and future earnings estimates.

### Infosys Key Metrics

Preset Metrics: Preset Metrics

| ROE Ann. % | Broker Average Target | Market Capitalization | Price to Book |
|---|---|---|---|
| 27.9 | 1,769.33 | 548,678.6 | |
| High in industry | 30.75% upside | Market Runner Up | Below Industry Median |

# Trendlyne Snapshot - INFY_forecaster